

tenured professor is sitting on millions of dollars worth of implicit bonds. Without engaging in the leverage transaction, her personal balance sheet would contain a skewed and unhealthy allocation to bonds. Therefore, to bring her personal equity into balance, she should borrow money—effectively shorting bonds and neutralizing some of her holdings—and invest the proceeds in stocks. She is not speculating, gambling, or imprudently squandering her hard-earned money. Rather, once again, she is hedging. She is making sure that her total balance sheet and not just her financial balance sheet is diversified.

**TABLE 4.5 Investment Debt, Life Insurance, and Equity Holdings:
The Impact of Being a Stock Versus Bond**

		You earn \$100,000 per year			
		Tenured Professor	Bankruptcy Lawyer	Mechanical Engineer	Investment Banker
Age 45	Equity Allocation	280%*	170%*	125%*	60%
	Life Insurance	\$1.9m	\$1.5m	\$1.4m	\$1.3m
Age 55	Equity Allocation	85%	70%	50%	35%
	Life Insurance	\$0.8m	\$0.6m	\$0.5m	\$0.4m

*Equity allocations above 100% indicate leverage; that is, borrowing money to invest in risky equity.

Source: The IFID Centre; model developed by H. Huang and M. Milevsky.

The life insurance perspective, which is the second part of the table, tells a similar story. The investment banker with a superficially identical financial situation as the tenured professor should hold much less life insurance because the economic value of his human capital is riskier and hence lower. I repeat, he might be expecting to earn the same \$100,000 per year going forward compared to the tenured professor, but given the risky nature of the income and salary, only a fraction must be insured. Once again it all boils down to the protection and diversification element. Life insurance is not speculation or gambling on death. It is a hedge against the sudden demise of human